

Armenia-Azerbaijan Relations

Armenia, Azerbaijan, South Caucasus

SIGNAL Peace between Armenia and Azerbaijan is advancing – Pashinyan has a mandate, Turkey is normalizing trade, and the US-backed TRIPP corridor is signed.

FRACTURE Russia is actively sabotaging the peace process through election interference and threats, Azerbaijan holds overwhelming military leverage with maximalist demands, and the Trump administration's commitment to the region is unpredictable.

Armenia and Azerbaijan will fail to sign a comprehensive peace treaty over the next 12 months.

75%

PROBABILITY

TARGET: JUNE 2027

CONFIDENCE: MEDIUM

ANALYSIS

POLITICAL

Pashinyan's re-election with a parliamentary majority (64 of 105 seats) provides domestic legitimacy to pursue peace with Azerbaijan and the Western pivot. But the election was marred by documented Russian interference – the Storm-1516 bot network ran 30+ campaigns targeting Armenia, and international monitors documented blatant meddling. Russia's goal is to weaken Pashinyan and install a more compliant government.

The critical constraint: Pashinyan lacks the two-thirds supermajority needed for constitutional reform. Azerbaijan has demanded that Armenia adopt a new constitution removing references to Nagorno-Karabakh as a precondition for signing a peace treaty. Initiating constitutional reform requires at least two-thirds of parliament (70 seats). Pashinyan's Civil Contract holds 64 seats. The two Russian-leaning opposition parties that won the remaining seats (Strong Armenia with 29 seats, and others) will not support constitutional changes that advance the peace process – doing so would hand Pashinyan a victory and contradict their pro-Russian orientation. Without opposition support, Pashinyan cannot initiate the constitutional process, creating a structural deadlock that Azerbaijan can exploit.

Putin has explicitly compared Armenia's Western pivot to Ukraine's path before 2014, warning that Yerevan's course could lead to a similar "Ukrainian scenario." This is not idle rhetoric – Russia still has significant leverage through Armenia's energy

dependence, the presence of Russian border guards, and economic pressure (Putin threatened measures that could cost Armenia 14% of GDP).

The domestic opposition is fragmented but pro-Russian. Former president Robert Kocharyan's Armenia Alliance and Samvel Karapetian's Strong Armenia party (whose leader is under house arrest) serve as vehicles for Russian influence. OSCE observers noted "numerous criminal proceedings of opposition candidates" that suppressed opposition campaigning, but also documented Russian "direct pressure from abroad in the form of escalating trade restrictions and security threats."

On the Azerbaijan side, Aliyev holds a dominant position militarily and territorially. He controls strategic positions inside Armenian territory along the 7,644 km border. His demands for a transit corridor through southern Armenia (Zangezur) and full peace terms reflect Azerbaijan's victory in the 2020-2023 campaigns. Aliyev can afford to wait – time is on his side as Armenia weakens and Azerbaijan's military and economic power grows.

ECONOMIC

Armenia's economy is small, landlocked, and dependent on imports for energy and food. Normalization with Turkey and the TRIPP corridor offer the prospect of breaking Armenia's isolation and reducing dependence on Russian transit routes. The reopening of the Turkish border for trade (May 2026) and the Georgia-Turkey railway connection are potentially transformative for Armenian trade.

Azerbaijan's hydrocarbon wealth (\$40+ billion in annual oil and gas revenue) gives it enormous economic leverage. Baku can use trade restrictions, transit fees, and investment promises as tools in negotiations. Azerbaijan's GDP is roughly 8x Armenia's.

The TRIPP corridor, if implemented, would provide Armenia with transit revenue and reduce its economic isolation. But it requires ceding effective control of a strip of sovereign territory – a politically costly concession for Pashinyan.

MILITARY

Azerbaijan's military superiority over Armenia is overwhelming and growing. The 2020 war demonstrated a qualitative gap in drone warfare, electronic warfare, and combined arms operations. Azerbaijan has continued to modernize with Turkish and Israeli equipment. Armenia is attempting to diversify its arms suppliers (France, India, Iran) but remains far behind.

Russian peacekeepers who were deployed to Nagorno-Karabakh after the 2020 ceasefire were effectively sidelined by Azerbaijan's 2023 operation. Russia's military presence in Armenia (Gyumri base) remains but its willingness to defend Armenia is now deeply questioned, particularly given the deterioration in Russia-Armenia relations.

The most dangerous military flashpoint is the unresolved border. Azerbaijan occupies strategic positions inside Armenian territory, and border incidents are frequent. A serious escalation could derail the peace process entirely.

TECHNOLOGICAL

Russia's information warfare capability is the primary technological threat to the peace process. The Storm-1516 bot network's operations against Armenia represent one of the most sustained influence campaigns in the region, using AI-generated content, fake media outlets, and coordinated amplification. This apparatus will continue to operate regardless of diplomatic progress.

The TRIPP corridor's technology dimension – digital infrastructure, surveillance systems, logistics automation – could become a US-China-Russia competition zone, adding another layer of complexity to its implementation.

Turkey's normalization with Armenia includes potential cooperation on telecommunications and digital infrastructure, which could reduce Armenia's dependence on Russian networks.

WATCH INDICATORS

- Border incident frequency and severity along the Armenia-Azerbaijan line
- Russian information campaign intensity targeting Armenian domestic politics
- Trump administration statements and actions on TRIPP corridor implementation
- Progress on Armenia-Azerbaijan peace treaty negotiations
- Turkish border opening timeline and trade volume
- Arms deals – Armenia diversifying suppliers vs. Azerbaijan modernizing
- Iranian statements on TRIPP corridor (runs along Iran-Armenia border)

PROBABILITY TRIGGERS

THING	DIRECTION
Pashinyan announces a deal with opposition parties on constitutional reform	Down
Azerbaijan escalates border incidents or makes new military threats	Up
Major Russian information operation targeting Armenian peace process	Up
US announces concrete TRIPP corridor timeline or funding	Down
Pashinyan's government weakens significantly (coalition collapse, protests)	Up
Turkey fully opens border with Armenia	Down
Armenia-Azerbaijan announce a framework peace agreement	Down

THING	DIRECTION
Russia conducts new documented interference operation in Armenia	Up

KEY SOURCES

1. Reuters: Russia's Covert Efforts to Stop Armenia's Pivot West
2. Stars and Stripes: Russia Meddling in Armenian Elections
3. ZOIIS Berlin: Russia and Armenia's 2026 Parliamentary Elections
4. ISD: Russian Information Campaigns Targeting Armenia
5. Turkish Minute: Armenian Elections Put Rapprochement with Turkey at Stake
6. RFE/RL: Pashinian Wins In Armenia, But No Super-Majority
7. Euractiv: Turkey and Armenia to Restart Direct Trade
8. CBC News: Pashinyan Wins Election, Observers Allege Russian Interference

This free Watch Report is provided by IScann Group for informational and strategic awareness purposes only. It is not legal, investment, security, or government advice. Assessments are probabilistic and may change as new information becomes available.